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DEFENDANTS' MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE, SUMMARY ADJUDICATION

Motion filed on January 26, 2026.

MOVING PARTY: PHH Mortgage Corporation (PHH) and Deutsche Bank National Trust Company, as Trustee for Argent Securities Inc., Asset-Backed Pass-Through Certificates, Series 2005-W4 (Deutsche Bank as Trustee) (collectively, Defendants)

RESPONDING PARTY: Jon F. Nesel (Plaintiff)

NOTICE: OK.

RELIEF REQUESTED: Summary judgment on the Complaint or, in the alternative, summary adjudication of each cause of action.

RULING: Granted. Summary judgment is granted in favor of Defendants and against Plaintiff.

BACKGROUND

Plaintiff filed the Complaint on June 9, 2025, asserting causes of action for violation of Civil Code sections 2923.5 and 2924.9, wrongful foreclosure, violation of Business and Professions Code section 17200, and cancellation of written instruments. Defendants filed a verified answer on July 21, 2025.

Defendants filed the instant Motion for Summary Judgment on January 26, 2026, with a separate statement, the declarations of Kevin Flannigan and Neil J. Cooper, an appendix of evidence, a notice of lodging of three audio recordings, and a request for judicial notice. No timely opposition was filed. Defendants filed notice of non-opposition on July 21, 2026.

REQUEST FOR JUDICIAL NOTICE

Defendants' request for judicial notice is GRANTED as to Exhibits 2 through 5, 23, and 26 through 32. (Evid. Code, § 452, subds. (c), (d); Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265.) Judicial notice is taken of the recorded instruments and the bankruptcy filings and orders, but not of the truth of disputed factual assertions contained therein.

UNTIMELY OPPOSITION

Plaintiff's opposition was due on July 15, 2026, but was filed on July 30, 2026, without leave of court or a showing of good cause. (Code Civ. Proc., § 437c, subd. (b)(2).) Defendants filed a reply addressing the opposition that same day. The Court exercises its discretion to consider both filings.

Plaintiff admits UMFs 1 through 3, 7, and 9. Although Plaintiff purports to dispute UMFs 4 through 6 and 8, his separate statement cites only allegations in the Complaint or no supporting evidence. Plaintiff also identifies no additional material facts. Although the pleadings define the scope of the issues presented on summary judgment, a party's own allegations, even in a verified pleading, do not constitute evidence creating a triable issue. (Hutton v. Fidelity National Title Co. (2013) 213 Cal.App.4th 486, 493; College Hospital, Inc. v. Superior Court (1994) 8 Cal.4th 704, 720, fn. 7; Roman v. BRE Properties, Inc. (2015) 237 Cal.App.4th 1040, 1054.) Once a moving defendant meets its initial burden, the plaintiff must set forth specific facts supported by evidence and may not rely on the allegations or denials of the complaint. (Code Civ. Proc., § 437c, subds. (b)(3), (p)(2).) Plaintiff's unsupported responses therefore do not create a triable issue.

LEGAL STANDARD

In reviewing a motion for summary judgment, courts must apply a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.)

"[T]he initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact." (Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) A defendant moving for summary judgment or summary adjudication "has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action." (Code Civ. Proc., § 437c, subd. (p)(2).) A moving defendant need not conclusively negate an element of plaintiff's cause of action. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 854.)

To meet this burden of showing a cause of action cannot be established, a defendant must show not only "that the plaintiff does not possess needed evidence" but also that "the plaintiff cannot reasonably obtain needed evidence." (Aguilar, supra, 25 Cal.4th at p. 854.) It is insufficient for the defendant to merely point out the absence of evidence. (Gaggero v. Yura (2003) 108 Cal.App.4th 884, 891.)
The defendant "must also produce evidence that the plaintiff cannot reasonably obtain evidence to support his or her claim." (Ibid.)¿The supporting evidence can be in the form of affidavits, declarations, admissions, depositions, answers to interrogatories, and matters of which judicial notice may be taken. (Aguilar, supra, 25 Cal.4th at p. 855.)

"Once the defendant . . . has met that burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (Code Civ. Proc., § 437c, subd. (p)(2).) The plaintiff may not merely rely on allegations or denials of its pleadings to show that a triable issue of material fact exists, but instead, "shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action.” (Ibid.) “If the plaintiff cannot do so, summary judgment should be granted.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.)

DISCUSSION

Undisputed Material Facts

On or about September 27, 2005, Plaintiff and his late wife obtained a $295,000 loan (Loan) from Argent Mortgage Company, LLC, secured by a deed of trust against real property at 15505 La Valle Street, Sylmar, California 91342 (Property). (UMF 1.) The Loan was transferred to Deutsche Bank as Trustee before PHH began servicing it, and the beneficial interest in the deed of trust was assigned to Deutsche Bank as Trustee in 2009. (UMF 2.)

Plaintiff failed to make the December 1, 2023 and later monthly payments. (UMF 3.) On January 10 and February 23, 2024, PHH sent Plaintiff correspondence concerning the default and loss-mitigation options. The February 23 letter also provided HUD housing-counseling information. (UMF 4.)

On March 20, 2024, PHH spoke with Plaintiff concerning the default, the amount required to reinstate the Loan, and loss-mitigation options. PHH asked about Plaintiff’s household income, the cause of the default, and whether the hardship had been resolved. PHH informed Plaintiff that it would review the account for available loss-mitigation options and send him the results. (UMF 5.) PHH conducted another financial interview on April 4, 2024. (UMF 6.)

A Notice of Default was recorded on May 31, 2024. (UMF 7.) On June 6, 2024, PHH sent Plaintiff a letter stating that he might be evaluated for a foreclosure-prevention alternative, that an application was required, and how he could obtain one. (UMF 8.) A trustee’s sale was held on May 6, 2025, and the Property was sold to a third party. (UMF 9.)

Deutsche Bank as Trustee

The pleadings define the scope of the issues on summary judgment. (Hinesley, supra, 135 Cal.App.4th at p. 294.)

The Complaint names Deutsche Bank as Trustee as a defendant and alleges that it owns the beneficial interest in the deed of trust. Each cause of action, however, is expressly pleaded only against “PHH Defendant.” (Compl. ¶¶ 18-54.) No cause of action is asserted against Deutsche Bank as Trustee.

Plaintiff requests leave to amend, asserting that the references to “PHH Defendant” may reflect inadvertent drafting. An opposing party may not defeat summary judgment by advancing an unpleaded theory and should seek leave to amend before filing its opposition. (Champlin/GEI Wind Holdings, LLC v. Avery (2023) 92 Cal.App.5th 218, 224-225.) Here, Plaintiff first requested amendment in an opposition filed three court days before the hearing, submitted no proposed amended pleading, identified no proposed new allegations, and offered no explanation for failing to seek amendment earlier. Moreover, Plaintiff seeks to assert the same claims based on the same alleged statutory violations addressed below and identifies no additional facts or evidence supporting those claims. The request for leave to amend is denied.

Summary judgment is granted in favor of Deutsche Bank as Trustee.

First Cause of Action for Violation of Civil Code Section 2923.5

The version of Civil Code section 2923.5[1] in effect when the Notice of Default was recorded prohibited recordation until “[e]ither 30 days after initial contact is made as required by paragraph (2) or 30 days after satisfying the due diligence requirements.” (Civ. Code, former § 2923.5, subd. (a)(1)(A).) It required the mortgage servicer to “contact the borrower in person or by telephone in order to assess the borrower’s financial situation and explore options for the borrower to avoid foreclosure.” (Id., subd. (a)(2).) During the initial contact, the servicer was required to advise the borrower of the right to request a subsequent meeting and, if requested, to schedule that meeting within 14 days. The servicer was also required to provide HUD’s toll-free housing-counseling number. (Ibid.) The assessment of the borrower’s financial situation and discussion of options could occur during the initial contact or at the subsequent meeting. (Ibid.)

Here, Plaintiff alleges that PHH made no contact and sent no communications concerning foreclosure alternatives before recording the Notice of Default. (Compl. ¶¶ 14, 20-21.) The evidence establishes otherwise. PHH's February 23, 2024 letter advised Plaintiff of available mortgage-assistance options, identified his designated relationship manager, and provided HUD's housing-counseling number. Plaintiff acknowledged receiving that letter. (UMF 4; Flannigan Decl. ¶ 15, Ex. 19; Cooper Decl., Ex. 33 [Nesel Depo. at 24:8-14].)

During March 20 and April 4, 2024 calls, PHH asked about Plaintiff's income, the cause and expected duration of his hardship, and his ability to continue or increase his monthly payments. PHH identified forbearance, a repayment plan, loan modification, short sale, and deed in lieu of foreclosure as possible options. (UMFs 5-6; Flannigan Decl. ¶¶ 16-17; Notice of Lodging, Exs. 20-21.) The March 20 call therefore included a financial assessment and discussion of foreclosure alternatives. These contacts occurred more than 30 days before the Notice of Default was recorded on May 31, 2024. (UMF 7.) Plaintiff also admitted that he received correspondence and spoke with PHH several times before recordation. (Cooper Decl., Ex. 33 [Nesel Depo. at 25:14-23, 26:18-21, 48:11-50:10].)

PHH has therefore met its initial burden of establishing compliance with former section 2923.5, subdivision (a)(2). Although Plaintiff disputes whether the communications satisfied the statute, his separate statement cites only allegations in the Complaint and no evidence contradicting the letters or recorded calls. Plaintiff's unsupported assertions do not create a triable issue. Summary adjudication is granted as to the first cause of action.

Second Cause of Action for Violation of Civil Code Section 2924.9

Unless the borrower has previously exhausted the applicable first-lien loan-modification process, Civil Code section 2924.9 requires a mortgage servicer that offers one or more foreclosure-prevention alternatives to send the borrower, within five business days after recording a notice of default, written notice that the borrower may be evaluated for a foreclosure-prevention alternative. (Civ. Code, § 2924.9, subd. (a)(1).) The notice must also state whether an application is required and identify the means and process by which the borrower may obtain one. (Id., subd. (a)(2)-(3).)

Here, the Notice of Default was recorded on May 31, 2024.

(UMF 7.) On June 6, 2024, the fourth business day after recordation, PHH sent Plaintiff a letter stating that he may be evaluated for a foreclosure-prevention alternative, that a completed application was required, and that he could obtain an application through PHH’s website or by telephone. (Flannigan Decl. ¶ 19, Ex. 24.) Plaintiff testified that he recalled receiving the June 6 letter. (Cooper Decl., Ex. 33 [Nesel Depo. at 26:22-27:5].)

This evidence establishes that PHH timely provided each item required by section 2924.9, subdivision (a). PHH has therefore met its initial burden. Although Plaintiff disputes the sufficiency of the letter, his separate statement cites no evidence that it omitted any of the three statutory requirements. Plaintiff further argues that the notice was required to identify the particular foreclosure-prevention alternatives for which he might qualify, but section 2924.9 imposes no such requirement. Plaintiff raises no triable issue. Summary adjudication is granted as to the second cause of action.

Third Cause of Action for Wrongful Foreclosure

A wrongful foreclosure claim requires that “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (Sciarratta v. U.S. Bank National Assn. (2016) 247 Cal.App.4th 552, 561-562.) “[M]ere technical violations of the foreclosure process will not give rise to a tort claim; the foreclosure must have been entirely unauthorized on the facts of the case.” (Id. at p. 562.)

Here, Plaintiff predicates the claim on PHH’s alleged violations of Civil Code sections 2923.5 and 2924.9. (Compl. ¶¶ 27-30.) As discussed above, PHH establishes compliance with both statutes. To the extent the claim also rests on the incorporated allegation that the Notice of Default was void because the accompanying declaration was not executed under penalty of perjury, that theory fails because the declaration required by section 2923.5 need not be executed under penalty of perjury. (Compl. ¶ 13; Mabry v. Superior Court (2010) 185 Cal.App.4th 208, 233-234.)

PHH has therefore met its initial burden of negating the alleged illegality underlying the sale. In opposition, Plaintiff relies on the same asserted statutory violations and submits no evidence establishing any independent basis on which the sale was illegal, fraudulent, willfully oppressive, or entirely unauthorized. Plaintiff raises no triable issue. Because the first element cannot be established, the Court need not address tender.

Summary adjudication is granted as to the third cause of action.

Fourth Cause of Action for Violation of Business and Professions Code Section 17200

The Unfair Competition Law (UCL) prohibits “any unlawful, unfair or fraudulent business act or practice.” (Bus. & Prof. Code, § 17200.) Its remedies, however, are limited. “Prevailing plaintiffs are generally limited to injunctive relief and restitution” and “may not receive damages.” (Zhang v. Superior Court (2013) 57 Cal.4th 364, 371.) “The object of restitution is to restore the status quo by returning to the plaintiff funds in which he or she has an ownership interest,” and “nonrestitutionary disgorgement of profits is not an available remedy in an individual action under the UCL.” (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1149, 1152.)

Here, Plaintiff alleges that PHH engaged in unlawful, unfair, and fraudulent practices by failing to comply with Civil Code sections 2923.5 and 2924.9, failing to provide meaningful loss-mitigation assistance, ignoring his communications, prolonging the process to accumulate interest and fees, providing misleading information, and violating title 15 United States Code section 1641(g). (Compl. ¶¶ 34-47.)

As discussed above, PHH shows compliance with Civil Code sections 2923.5 and 2924.9. PHH’s evidence also show that Plaintiff stopped making monthly payments beginning December 1, 2023, and that PHH thereafter sent him written information concerning loss-mitigation options and conducted two financial interviews concerning his income, hardship, and available alternatives. (UMFs 3-6.) This evidence negates the pleaded allegations that PHH ignored Plaintiff, provided no loss-mitigation assistance, or purposefully prolonged the process while withholding information. The Loan was assigned to Deutsche Bank as Trustee in 2009, before PHH began servicing it. Because title 15 United States Code section 1641(g) imposes its notice obligation on the new owner or assignee of the debt, the alleged violation does not provide an unlawful predicate against PHH. (UMF 2.)

PHH has therefore met its initial burden as to the pleaded unlawful, unfair, and fraudulent theories. In opposition, Plaintiff relies on the asserted violations of Civil Code sections 2923.5 and 2924.9 and states generally that unfair or fraudulent conduct presents a factual question. He cites no evidence contradicting PHH's communications or identifying any independent false statement, intentional delay, or other unfair or fraudulent practice. Plaintiff therefore raises no triable issue as to UCL liability.

Plaintiff argues that Defendants conflate standing with the availability of restitution. The two inquiries are distinct, and ineligibility for restitution does not defeat standing. (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 336-337.) Even assuming Plaintiff has standing, however, standing alone does not establish entitlement to relief. Restitution requires both that Plaintiff lost money or property and that PHH acquired it by means of the alleged unfair competition. (Id. at p. 336.)

The Complaint alleges continuing interest charges, late fees, foreclosure costs, and diminished equity and seeks restitution and disgorgement. (Compl. ¶¶ 40, 48, 50.) In opposition, Plaintiff argues that these amounts are recoverable as restitution but cites only the allegations of the Complaint. Plaintiff submits no evidence identifying any such amount he paid to PHH, any money or property PHH acquired from him through the challenged practices, or any causal connection between such an acquisition and the alleged unfair competition. His assertion that the record "does not foreclose" such losses does not create a triable issue. Plaintiff therefore fails to show that the claimed losses are recoverable as restitution rather than compensatory damages.

Prospective injunctive relief is likewise unavailable. "An injunction must seek to prevent harm, not to punish the wrongdoer," and should not issue "in the absence of any evidence that the acts are likely to be repeated in the future." (Feitelberg v. Credit Suisse First Boston, LLC (2005) 134 Cal.App.4th 997, 1012.) The trustee's sale was completed, and the Property was sold to a third party. (UMF 9.) There is no continuing foreclosure activity involving Plaintiff, the Loan, or the Property to enjoin.

PHH has met its initial burden of showing that Plaintiff cannot establish a UCL violation. Plaintiff raises no triable issue and identifies no available UCL remedy supported by evidence. Summary adjudication is granted as to the fourth cause of action.

Fifth Cause of Action for Cancellation of Written Instrument

Civil Code section 3412 permits cancellation of a written instrument where “there is a reasonable apprehension that if left outstanding it may cause serious injury to a person against whom it is void or voidable.”

Plaintiff seeks cancellation of the Notice of Default and Notice of Trustee’s Sale based on PHH’s alleged violations of Civil Code sections 2923.5 and 2924.9. (Compl. ¶¶ 51-54.) As discussed above, PHH negates those alleged violations. To the extent Plaintiff also relies on the incorporated allegation concerning the absence of penalty-of-perjury language, the declaration required by section 2923.5 need not be executed under penalty of perjury. (Compl. ¶ 13; Mabry, supra, 185 Cal.App.4th at pp. 233-234.) The pleaded grounds therefore do not establish that either instrument is void or voidable.

Plaintiff raises no triable issue. Summary adjudication is granted as to the fifth cause of action.

CONCLUSION

Defendants’ Motion for Summary Judgment is granted. Summary judgment is granted in favor of PHH Mortgage Corporation and Deutsche Bank National Trust Company, as Trustee for Argent Securities Inc., Asset-Backed Pass-Through Certificates, Series 2005-W4, and against Plaintiff Jon F. Nesel.

Defense is ordered to file and serve a proposed judgment within 10 days of this order.

[1] All references to Civil Code section 2923.5 are to the version in effect when the Notice of Default was recorded on May 31, 2024. Effective January 1, 2025, Assembly Bill 2424 amended subdivisions (a)(2) and (e)(1) to require notice that a third party may record a request under section 2924b to receive copies of a notice of default and notice of sale. (Stats. 2024, ch. 311, § 1.)